

NPS ASSET CLASSES

When investing under NPS Scheme, NPS does not promise a fixed rate of return. Instead, it gives a choice to invest in different asset classes and our money is tied to these asset classes. The risk and return of these classes are then reflected in our investments.

Let us thoroughly understand each of these classes. First is the E-class i.e. equity class where our money is invested in equities. Next, the C-class is where the money is invested in corporate bonds. Then, G-class, where the money is invested in Gilt-funds or government bonds. After that, A-class is an open class that allows investments in ETFs and REITs. Lastly, there is an auto-mix format that invests automatically in these classes based on our age. We can opt for anyone or a combination of more than one asset class. Note that there is a 50% cap limit on E-class. Irrespective of our age and circumstances, we cannot invest more than 50% of our corpus in E-class.

